Louisa County Water Authority
Board of Directors
May 10, 2023

MEMBERS PRESENT: Mr. Judson Foster, Chairman; Mr. Douglas Smith, Vice-Chairman; Mr. David Kies; Mr. Bob Hardy; Mr. Byron Wilson; Mr. Tom Filer; Mr. Robert Morgan

OTHERS PRESENT: Ms. Pam Baughman, General Manager; Mr. Hunter Martin, Water Operations Manager; Mr. Cody Langridge, Deputy Water Operations Manager; Ms. Tammy Purcell, Engage Louisa; Mr. Kyle Eldridge, Assistant County Attorney; Mr. Eric Purcell, Louisa County Board of Supervisors

A. Call to Order

Chairman Foster called the meeting to order at 6:00 pm.

1. ADOPTION OF THE AGENDA

Chairman Foster asked if there were any changes or additions to the agenda. Ms. Baughman, General Manager asked to add three items. Two to Short Notice Items – 1) BioCAT Wastewater Evaluation and Bench Testing and 2) Zion Crossroads Wastewater Treatment Plant Effluent Toxicity Evaluation. One additional topic in closed session pursuant to Va. Code Section 2.2-3711(A)(7) for consultation with legal counsel and briefings by staff members or consultants pertaining to actual or probable litigation, where such consultation or briefing in open meeting would adversely affect the negotiating or litigating posture of the public body. Remove items 3 and 4 from Presentations. Mr. Hardy made a motion to adopt the agenda as amended. Mr. Morgan seconded the motion and carried 7-0.

2. PUBLIC HEARING – WATER & SEWER RATE INCREASE

A. PUBLIC HEARING NOTICE

Ms. Baughman informed the Board that Mr. Robert Ferrara emailed stating that the proposed rate increase was, "too high". Mr. Walker came by the office to voice his displeasure over the proposed water rate increase. Today, Ms. Centofanti sent the following email, "Please consider a lower rate increase if possible as the water rates seem high already. When we first purchased here, I'm recalling a water bill around $40, now it's $95-$100 or over. I did see someone's comment on next door a few months ago who just purchased in the area, and they were shocked by their water bill. I understand there are upgrades needed but if the base water and sewer rates or any part of the proposal can be lowered than proposed that would be appreciated."

Chairman Foster instructed the only member of the public, Mr. Ferrara to come to the podium, state his name for the record and that he would be provided three minutes to express his thoughts on the proposed rate increase.

Mr. Ferrara stated that he felt the Board should encourage conservation. Some suggestions he made were for credits at Lowe's or Home Depot for low flow shower heads and fixtures and rain barrels. Mr. Ferrara stated that at the main entrance to Spring Creek a leak has been going on for quite some time and they should drill a well. He stated that more water should be provided to customers and that winter and summer rates should be enacted.

When Mr. Ferrara concluded his thoughts regarding the rate increase, Chairman Foster closed the Public Hearing.

Mr. Foster stated that the cost to meet regulations and provide quality services continue to increase. Mr. Hardy stated that the Authority needed to balance the budget for operation and maintenance costs and lessen our dependency on the connection fees. Mr. Smith stated that he felt lowering the minimum monthly bill to 3,000 gallons encourages conservation. Mr. Filer stated that the cost of operation for services provided in the three growth areas of the County cost money for operations and maintenance. Replacing retiring employees in the current market has proven difficult and the bottom line is expenses need to be covered. Mr. Foster asked if any other Board member would like to speak.

Upon completion of the discussion, Mr. Hardy made a motion to increase water and sewer rates by the rate advertised of 15%. Mr. Kies seconded the motion and carried 7-0.

The rates will be effective July 1, 2023.

B. Presentations

3. PRESENTATION – DURWOOD WILLIS FOR HIS SERVICE TO LOUISA COUNTY WATER AUTHORITY

Removed from the agenda.

4. PRESENTATION – PHIL BAILEY FOR HIS SERVICE TO LOUISA COUNTY WATER AUTHORITY

Removed from the agenda.

C. Citizen Information

D. Consent Agenda

5. APPROVAL OF THE MINUTES:

A. APRIL 12, 2023 – REGULAR BUSINESS MEETING

6. TREASURER'S REPORT:

A. O & M REPORT / CAPITAL REVENUE & EXPENDITURE REPORT – APRIL 2023
B. APPROVAL OF DISBURSEMENTS – APRIL 2023
C. CONSTRUCTION FUND – APRIL 2023
D. INVESTMENTS
E. REGIONAL SEWER EXPENSE & REVENUE
F. NORTHEAST CREEK – PAID CONNECTION FEES AND ALLOCATIONS
G. ZION CROSSROADS – PAID CONNECTION FEES AND ALLOCATIONS
H. THIRD QUARTER SUMMARY STATEMENT OF INCOME
I. THIRD QUARTER DETAILED STATEMENT OF INCOME
J. THIRD QUARTER SUMMARY STATEMENT OF EXPENSES
K. THIRD QUARTER DETAILED STATEMENT OF EXPENSES

The Board reviewed the Consent Agenda, including the Treasurer's Report. Upon completion of the review, Mr. Smith made a motion to approve the Consent Agenda and Treasurer's Report as presented. The motion was seconded by Mr. Kies and carried 7-0.

E. Old Business

7. UPDATE – JAMES RIVER WATER PROJECT

May 10, 2023 – Update on the three main permits:

1) The Department of Marine Resources Commission permit looks as though it will not be issued until after July 1, 2023. This means that the new regulations that go into effect on July 1, 2023, will be included in the permit.

2) The Department of Environmental Quality permit has been drafted and there have been discussions that have taken place between AquaLaw and the Department. There are a couple of design shifts DEQ is requesting and a few items to button up, but the fully drafted permit should be received tomorrow for a full review by the owners. Once the owners are satisfied, the permit will enter a 30-day comment period.

3) The Army Corps has had a change in management. The James River Water Authority permit has been assigned to a different project manager. A meeting with the new manager is scheduled for tomorrow. This manager is section 106 permit specialist at the technical execution center.

Timmons/Faulconer – The CSX crossing permitting process is underway, they are working on nailing down pricing and everything is on schedule.

Depending on the costs for Phase III, everyone believes the remaining balance of the original debt issuance will last until the end of the calendar year.

An application for funding has been submitted to the Virginia Department of Health – Office of Drinking Water. Everyone is hoping for a stable rate by the time any debt will need to be issued. In the next two – three months, financial decisions by each locality will need to be made. Everyone is hoping for a more stable rate at that time.

8. NORTHEAST CREEK WATER TREATMENT PLANT – SLUDGE VAC SYSTEM UPDATE

The final submission was made to the Virginia Department of Health – Office of Drinking Water on May 3, 2023. The engineering firm is working with Sam Massie, Procurement Office to make sure Request for Proposal documents are finalized prior to the bidding process.

9. ZION CROSSROADS WELL SYSTEM UPDATES

A. SPRING CREEK - #1 & #2- UPDATE

As of today, Spring Creek #1 water line has been completed and Spring Creek #2 has approximately 30% of the water line installation complete. The electrician will be onsite the next few weeks to connect the wells to the Spring Creek Well House. Chris is working with Fortiline to get all the internal plumbing materials. Staff along with James River Water Solutions or Central Virginia Contractors may assist, if needed.

B. POORE WELLS – FILTER – UPDATE

Staff have been in contact with the manufacturer. The manufacturer has requested an additional valve on the discharge side of the filter. Once received, James River Water Solutions will install the valve and staff will try again to bring Poore Well #2 online. If the filter blows out again, the manufacturer has requested we try a larger micron filter.

10. REGIONAL OPTIMIZATION AND PROCESS OPERATIONS STUDY

The engineering firm has been in contact with staff for additional information and they have been put on notice that we would like them to finalize the report soon.

11. ZION CROSSROADS WWTP DIESEL TANK ADDITION FOR GENERATOR

Nothing new to report.

12. NEW TRUCK PURCHASE, SNOWPLOW, AND 100-GALLON DIESEL TRANSFER TANK

Nothing new to report

13. OPEN POSITION

A. MAINTNEANCE TECH

If we can get this position staffed, we would be fully staffed for the first time in over two years.

14. UPDATE – LAKE ANNA ENVIRONMENTAL WWTP

A. LAKE ANNA WWTP – UNAUTHORIZED DISCHARGE REPORT (#309113)

During the heavy rains on Friday, April 28, 2023, a stormwater ditch overflowed into the lagoons causing an unauthorized discharge.

B. LAKE ANNA WWTP – REPAIRS

The Authority was informed that no comments were received during the public comment period for the Lake Anna WWTP. On April 18, 2023, the Department of Environmental Quality issued the Virginia Pollution Discharge Elimination System permit in Louisa County Water Authority's name effective May 1, 2023. As of May 1, 2023, staff have been busy assessing the needs of the system.

The County of Louisa will have a draft resolution on the May 15, 2023, Board of Supervisors meeting agenda providing $100,000 for start-up and maintenance costs. The Authority will provide an accounting of how the funds have been spent and request more funding as the need arises. No keys have been provided, equipment has been removed, chemicals have been removed, equipment isn't working, one well is out of service…

Staff have rallied around our latest endeavor, with Nancy Pugh developing all the forms needed at the Lake Anna WWTP. Randy and Michael Whitman have been assessing operations and equipment, including the wells.

15. UPDATE – CLEARWELL ROOF / BASEMENT FLOOR DRAINAGE

The contract has been signed. A deposit for materials and mobilization has been made and work is anticipated to commence in June.

16. UPDATE – NANOFILTRATION GRATING EVALUATION / UPGRADE TO ACCESS / PALLET JACK

The plans for the grating supports have been approved and all materials have been ordered. The parking lot re-sloping work has been completed, but during the April 28, 2023, heavy rains, some of the asphalt was being undermined. Staff will be correcting the issue.

17. DRAFT FY2024 BUDGET

A. PROPOSED SUMMARY STATEMENT OF INCOME
B. PROPOSED DETAILED STATEMENT OF INCOME
C. PROPOSED SUMMARY STATEMENT OF EXPENSES
D. PROPOSED DETAIL STATEMENT OF EXPENSES

The Board discussed the latest iteration of the Proposed FY2024 Budget. Upon completion of the discussion, Mr. Filer made a motion to approve the budget as presented. The motion was seconded by Mr. Morgan and carried 7-0.

18. DRAFT – WATER SUPPLY EMERGENCY ORDINANCE

A. POWER POINT PRESENTATION TO THE BOARD OF SUPERVISORS – MAY 1, 2023

The Board was provided with a copy of the Power Point presentation slides presented to the Board of Supervisors on May 1, 2023. The Board of Supervisors voted to advertise for a public hearing on the Water Supply Emergency Ordinance to receive feedback from the customers and citizens. The Public Hearing is scheduled for June 5, 2023.

B. PROPOSED EMERGENCY RATE SCHEDULES

The General Manager provided some options for proposed emergency rates when restriction have been put into place. The Board discussed the options and directed the General Manager to include the Town and commercial customers to the volumetric surcharge and percentage surcharge for the Board to revisit at the June meeting.

19. LEAD SERVICE LINE INVENTORY

Work continues for the Lead Service Line Inventory Plan. Additional information for each service area will be included as well as two required documents from the Virginia Department of Health – Office of Drinking Water. The customer access agreement has been finalized. A draft one-page document has been developed for maintenance staff to complete while doing visual inspections on service lines. The information needed for the data base has also been drafted. Once the water operations staff has completed their review, the office staff will begin to populate the information.

20. UNAUTHORIZED USE OF FIRE HYDRANTS

Mr. Kyle Eldridge informed the Board that the Code of Virginia provides authority for the unauthorized use of fire hydrants. The action is illegal and a fine can be imposed. There is no need to request the passing of the unauthorized use of fire hydrants.

F. New Business

21. WELL PIPE STAND REPLACEMENT

The Board reviewed the quote to fabricate eight new well pipe stands and pictures of the current condition of the well pipe stands. The well pipe stands are rusting and deteriorating. Staff felt they could take a wire brush to them and repaint the, but upon further investigation, several of them are almost completely rusted through. The environment is wet and only climate controlled enough to keep things from freezing in the winter. The pipes are heavy, and the pipe stands keep the pipes from sagging and breaking apart.

Upon completion of the review, Mr. Filer made a motion to proceed with the replacement of the pipe stands for the price quoted from Greg Madison Welding, Inc. The motion was seconded by Mr. Hardy and carried 7-0.

G. Reports

22. PROGRAM MANAGER'S REPORT

H. General Manager's Report

● **April levels**: At the end of April the static well levels are down approximately 1.06 feet from the end of March 2023 levels. From April 2022 to April 2023, the well levels are up approximately .25 feet.

The smaller table shows static well levels located nearer to the production wells. These levels are down approximately 1.37 feet from the end of March 2023 levels. From April 2022 to April 2023, the well levels are up approximately 15.57 feet.

As of May 2, 2023, for the Northern Piedmont Region, the Department of Environmental Quality Drought Monitor indicates normal conditions for precipitation, groundwater, reservoir levels and stream flows.

● Drought Watch Advisory Declaration has been issued for 28 counties and 11 cities in the southeastern sections of the Commonwealth.

● On Tuesday, May 9, 2023, a group from Louisiana, Mississippi, Alabama, and Minnesota toured the Northeast Creek Water Treatment Plant and Nanofiltration System.

● The current past-due listing is down to $5,838.68 from the past-due listing provided in the General Manager's Report, which reported the past-due balance of $9,055.25.

● Letter from Mr. & Mrs. Lee from Spring Creek – "I wanted to thank the two Water Authority employees who did a service call to trouble shoot a water leak that occurred a couple of weeks ago at my residence. The were extremely professional and very patient in determining what was causing the leak. The cause was difficult to find since there was no sign of obvious water leakage. However, they found that the water was escaping through a drain. Once the water supply was cut off to the filtration system the water meter stopped. Their professionalism and quick thinking should be commended."

● The Louisa County Water Authority Business Office will be closed in observance of Memorial Day on May 29, 2023. All facilities will be covered with minimum staffing.

I. <u>Committees</u>

J. <u>Short Notice Items</u>

● BIOCAT WASTEWATER EVALUATION AND BENCH TESTING

BioCAT is expanding their business in Louisa County. Previously, their plans were to connect to the Zion Crossroads Wastewater Treatment Plant collections system for the building currently in operation. The current operation does not produce any industrial waste harmful to the treatment process at the Zion Crossroads Wastewater Treatment Plant.

The new facility's discharge was originally planned to be sent to a drainfield but is now being designed to be discharged into the Zion Crossroads Wastewater Treatment Plant collections system. BioCAT is currently designing their facility expansion and anticipates construction to begin later this year and discharge will begin in the first quarter of 2025. A previous evaluation conducted in 2021 shows expected discharge from the new facility is expected to be high in organic loading, organic nitrogen, and total phosphorous. The wastewater from BioCAT is projected to represent a high percentage of the Zion Crossroads Wastewater Treatment Plant's influent industrial loading allocation for these parameters. The biodegradability of the nitrogen and phosphorous is unknown, and, if recalcitrant, could impact the WWTP's ability to meet stringent effluent limits. Based on our May 2, 2023, call with Dewberry and BioCAT, the volume and characteristics of the wastewater may have changed since the initial evaluation.

This evaluation and bench testing will provide updated loading information based on flow and concentration projections and perform bench testing to evaluate the biodegradability of the BioCAT wastewater.

●ZION CROSSROADS WASTEWATER TREATMENT PLANT EFFLUENT TOXICITY EVALUATION

Louisa County Water Authority samples once per year for whole effluent toxicity at the Zion Crossroads Wastewater Treatment Plant. Toxicity tests performed are chronic survival and reproduction for two species (*Ceriodaphnia dubia and Pimephales promelas)*. The permit requires a NO Observed Effect Concentration of greater than or equal to 49% effluent. Annual results for the past three years have been compliant with the permit limit; however, some toxicity has been observed during each analysis for one of the endpoints and species.

This evaluation will help determine where in the collections system the toxic substance(s) is entering, review chemicals used in the treatment process, review operations & maintenance protocols and evaluate discharge and operations of the industrial user Walmart Distribution.

The Board discussed the proposal from Dewberry Engineers for an evaluation of BioCAT's Wastewater and Bench Testing and a proposal for Zion Crossroads Wastewater Treatment Plant Effluent Toxicity Evaluation.

Upon completion of the review, Mr. Filer made a motion to authorize moving forward with the evaluations and bench testing and directed the General Manager to seek reimbursement on costs for the costs directly associated with the BioCAT Wastewater Evaluation and Bench Testing. The motion was seconded by Mr. Smith and carried 6-0-1. Mr. Foster abstained.

K. Closed Session

23. CLOSED SESSION PURSUANT TO VA. CODE SECTION 2.2-3711(A)(3) DISCUSSION OR CONSIDERATION OF THE ACQUISITION OF REAL PROPERTY FOR A PUBLIC PURPOSE, OR OF THE DISPOSITION OF PUBLICLY HELD REAL PROPERTY, WHERE DISCUSSION IN AN OPEN MEETING WOULD ADVERSELY AFFECT THE BARGAINING POSITION OR NEGOTIATING STRATEGY OF THE PUBLIC BODY, AND PURSUANT TO VA. CODE SECTION 2.2-3711(A)(7) FOR CONSULTATION WITH LEGAL COUNSEL AND BRIEFINGS BY STAFF MEMBERS OR CONSULTANTS PERTAINING TO ACTUAL OR PROBABLE LITIGATION, WHERE SUCH CONSULTATION OR BRIEFING IN OPEN MEETING WOULD ADVERSLEY AFFECT THE NEGOTIATING OR LITIGATING POSTURE OF THE PUBLIC BODY.

Mr. Hardy made a motion to close the regular open meeting and immediately reconvene in executive closed session for discussion or consideration of the acquisition of real property for a public purpose, or of the disposition of publicly held real property, where discussion in an open meeting would adversely affect the bargaining position or negotiating strategy of the public body. The motion was seconded by Mr. Filer and carried 7-0.

RETURN TO OPEN MEETING:

Mr. Foster closed the closed session and immediately reconvened in regular open meeting at 7:30 pm.

CERTIFY:

Mr. Foster read the following statement prior to the vote to certify the closed session.

"Pam will now poll members to certify that, to the best of your knowledge, only public business matters lawfully exempted from the open meeting requirements under the Virginia Freedom of Information Act, and as identified in the motion for which the closed meeting was convened, were discussed, and considered by the Board. If any member believes that the Board varied from the purpose stated for the closed meeting, please state so and the reason prior to casting the vote." A roll call vote was requested with the following results:

Mr. Foster	YES
Mr. Smith	YES
Mr. Filer	YES
Mr. Hardy	YES
Mr. Kies	YES
Mr. Morgan	YES
Mr. Wilson	YES

The motion was carried 7-0.

Mr. Filer made a motion to direct the General Manager to negotiate the purchase of the office space directly adjacent to the current Louisa County Water Authority business office at a cost not to exceed $225,000. The motion was seconded by Mr. Smith. A roll call vote was requested with the following results:

Mr. Foster	YES
Mr. Smith	YES
Mr. Filer	YES
Mr. Hardy	YES
Mr. Kies	NO
Mr. Morgan	NO
Mr. Wilson	YES

The motion carried 5-2.

Next meeting date - The next business meeting is scheduled for June 14, 2023.

L. Adjournment

THERE BEING NO FURTHER BUSINESS, Mr. Smith made a motion to adjourn at 8:23 pm. The motion was seconded by Mr. Kies and carried 7-0.

BY ORDER OF:

Judson Foster
Chairman
LOUISA COUNTY WATER AUTHORITY